

Contestant Number: _____

Time: _____

Rank: _____



Payroll Accounting (125)

STATE 2024

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Short Answer (15 @ 3 points each) _____ (45 points)

Job 1: Payroll Register _____ (48 points)

TOTAL POINTS _____ ***(153 points)***

Test Time: 60 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all percentages to two decimal places unless otherwise indicated.
- Assume all employees earn overtime for any hours worked over 40 hours in a week unless otherwise instructed.
- All calculations regarding time should be rounded to the nearest quarter hour.
- Use 6.2% for Social Security Tax on the first \$100,000 in wages.
- Use 1.45% for Medicare Tax for all wages.
- Use 5.4% for State Unemployment Tax and 0.8% (\$7,000 ceiling) for Federal Unemployment Tax.
- Assume no employee has accumulated earnings in excess of the social security tax, SUTA, or FUTA base unless otherwise indicated.

Multiple Choice Questions

Directions: Identify the letter of the choice that best completes the statement or answers the question.

1. What percent of Medicare tax do the employee and employer each pay?
 - A. 7.65%
 - B. 1.45%
 - C. 6.20%
 - D. 3.75%
2. Which of the following is an example of payroll tax?
 - A. Federal income tax withholding
 - B. Sales tax
 - C. Property tax
 - D. 401(k) employee deferral
3. The total pay an employee earns for a period, before any taxes or other deductions are taken out.
 - A. Net pay
 - B. Income tax
 - C. Hourly pay
 - D. Gross pay
4. What are the gross earnings per pay period for a semi-monthly employee who earns \$100,000 a year?
 - A. \$2,166.67
 - B. \$1,923.08
 - C. \$4,166.67
 - D. \$3,846.16
5. Under the Immigration Reform and Control Act, employers and employees are required to complete which of the following forms?
 - A. I-9
 - B. W-4
 - C. W-2
 - D. 1099
6. A cost paid by an employer to cover an employee's work-related injury is _____.
 - A. unemployment tax
 - B. worker compensation
 - C. Medicare tax
 - D. garnishment pay

7. The form which indicates the number of allowances to be used by the employer when calculating the federal income tax withholding is ____.
 - A. I-9
 - B. W-4
 - C. W-2
 - D. 1099
8. The amount that an employee “clears” or “takes home” is the ____ pay.
 - A. gross
 - B. period
 - C. net
 - D. back
9. An employer has computed the following amounts for its employee Luis during a week in January: gross wages \$500.00; FICA tax withheld \$38.25; federal income tax withholding \$67.25; state income tax withholding \$20.00; stock savings plan \$24.00; charitable contribution \$5.00. What is Luis’s net pay?
 - A. \$374.50
 - B. \$357.75
 - C. \$345.50
 - D. \$373.50
10. A bi-weekly employee is paid a total of ____ times a year.
 - A. 52
 - B. 78
 - C. 26
 - D. 32
11. An hourly employee who currently makes \$17.50 an hour receives a 15% raise. What is their new hourly rate?
 - A. \$17.50
 - B. \$17.65
 - C. \$18.50
 - D. \$20.13
12. Every employee must be given a W-2 and W-4 by January 31.
 - A. True
 - B. False
13. According to the Fair Labor Standards Act, when does an hourly employee receive overtime pay?
 - A. When they work more than 40 hours per week.
 - B. When their employer wants them to receive overtime.
 - C. When they work more than 8 hours a day.
 - D. When they work in a new department.

14. Miranda works for a company where she receives 25% commission for every car she sells. Her hourly pay is \$21.00. This pay period she worked 40 hours and sold 1 car for \$22,699. What is her gross pay?
- A. \$5,674.75
 - B. \$840.00
 - C. \$6,514.75
 - D. \$6,250.50
15. What is the overtime rate for an employee who makes \$50,000 a year?
- A. \$36.06
 - B. \$46.88
 - C. \$56.06
 - D. \$26.06
16. Additional compensation earned on job performance is ____.
- A. hourly
 - B. salary
 - C. commission
 - D. piece-work
17. The Federal Income withholding tax must be matched by the employer.
- A. True
 - B. False
18. Which of the following months are considered part of the second quarter?
- A. Jul, Aug, Sep
 - B. Mar, Apr, May
 - C. Apr, May, Jun
 - D. Jan, Feb, Mar
19. Record of wage payment information about employees each pay period and pay date is ____.
- A. Employee earnings record
 - B. Payroll register
 - C. Liability payroll
 - D. Payroll reports
20. A weekly pay employee will be paid ____ times a year.
- A. 26
 - B. 87
 - C. 52
 - D. 51
21. Supplemental pay paid to employees, such as commission or bonuses, is not taxable.
- A. True
 - B. False

22. A W-3 form is sent to ____.
- A. IRS
 - B. IRS & Social Security Administration
 - C. Federal Reserve
 - D. Social Security Administration
23. Chandler gets a new job gluing together beaded barrettes. On average he is able to glue 500 pieces in an hour and makes \$10.00 per hour. How much is Chandler being paid per glued unit?
- A. \$0.05
 - B. \$0.50
 - C. \$0.20
 - D. \$0.02
24. Johnathan earns \$13.00 per hour, and also receives a supplemental \$3.50 per hour in Health and Welfare benefits. If Johnathan works 35 hours in a week, what is his gross pay for that week?
- A. \$577.50
 - B. \$455.00
 - C. \$537.50
 - D. \$447.00
25. Only employers are required to pay Social Security & Medicare taxes on wages.
- A. True
 - B. False

Match the employee classification with the associated pay type:

- | | |
|---|---------------|
| _____ 26. Paid a percent of sales | A. Commission |
| _____ 27. Paid overtime for anything worked over 40 hours in a workweek | B. Salary |
| _____ 28. Reports cash earned and is also paid an hourly wage | C. Piece-work |
| _____ 29. Paid the same amount regardless of hours worked | D. Tipped |
| _____ 30. Paid a fixed rate for each unit produced | E. Hourly |

Short Answer Problems – 45 Total Points

1. Veronica works at a flower shop and earns \$10.50 per hour, plus 6% commission on sales. What was Veronica's commission if her total sales were \$2,050?

2. Billy earns a straight commission of 6.5% as a real-estate agent. Last month his total sales were \$872,168.00. What was Billy's commission for the month?

3. Kendall works for the Cell Phone Lot being paid \$12.50 per hour, as well as commission on each contract sold. The chart below shows how much she will earn per contract.

Contracts Sold per Pay Period	Commission per Contract
1-5	\$10.00
6-10	\$12.50
11-15	\$15.00
16-20	\$17.50
20 +	\$22.50

Kendall worked 60 hours in her most recent two-week pay period and sold 36 contracts within that time. Use the information to figure out the following:

Regular Hourly Pay _____

Commission Pay _____

Total Pay _____

4. Find the missing shaded area values for the following employees paid Piece Rate.

Name	Daily Pieces Produced	Piece Rate	Piece Work Pay
Paul	36	\$2.50	
Jasmine	42		\$241.50
Joe		\$5.25	\$183.75

5. Adam works for Rodriguez Upholstery, where he reupholsters furniture. He is paid the following rates: \$137 for each couch, \$125 for each love seat and \$99 for each chair that he upholsters. During the last two weeks, Adam upholstered eight couches, 27 loveseats, and 24 chairs.

How much did Adam earn for his work? _____

6. The following employees are paid an hourly wage, as well as piece rate for the pieces they produce. Complete the shaded areas of the table below.

Name	Hourly Pay Total	Pieces Produced	Piece Rate	Piece Work Pay	Total Pay
Dan	\$117.50	40	\$1.75		
Marie		5		\$1,525.00	\$1,625.00
Jaye	\$140.00		\$5.00	\$500.00	

JOB 1: Preparing a semimonthly payroll. – 48 Total points; 2 points per answer.

You are the payroll clerk at your job, and you must complete the payroll register for the pay period ending August 15th. For Federal Income Tax use a flat rate of 12%. The Social Security Tax rate is 6.2%, and the Medicare Tax rate is 1.45%.

PAYROLL REGISTER

SEMIMONTHLY PERIOD ENDED Aug 15, 20--

				1	2	3	4	5	6	7	8	9
	Employee's Name	Marital Status	No. of Allowances	Earnings			Deductions					
				Regular	OT	TOTAL	Federal Income Tax	Social Security Tax	Medicare Tax	Charitable Contribution	Total	Net Pay
1	Avila, Fabian	M	2	1,188.00	131.63					50.00		
2	Deal, Brandon	M	1	1,276.00	97.88					20.00		
3	Hernandez, Julio	S	3	940.00	105.75					80.00		
4	Matthews, Devin	S	2	1,460.00	--					50.00		